A second approach to dynamic asset allocation is to use valuation-based asset allocation. The idea for this approach is to reduce the stock allocation when the portfolio is the most vulnerable to experiencing a big decline in value, which historically has happened when measures such as Robert Shiller's cyclically adjusted price-earnings (PE) ratio have risen to levels well above their averages (i.e., 1929, the mid-1960s, and 2000).

A related possibility is to modify asset allocation based on current market valuations. For instance, in an April 2012 *Journal of Financial Planning* article titled "Withdrawal Rates, Savings Rates, and Valuation-Based Asset Allocation," I investigated a case study comparing a 50/50 fixed asset allocation for stocks and bonds against a strategy that keeps 50 percent stocks as a baseline but switches to 25 percent stocks when Shiller's PE ratio rises above four-thirds of its historical average up to that point, and rises to 75 percent stocks when Shiller's PE ratio falls below two-thirds of its historical average up to that point. In rolling historical thirty-year periods using Robert Shiller's data for large-capitalization US stocks and ten-year US government bonds, the valuation-based strategy raised the SAFEMAX withdrawal rate from 3.93 percent to 4.58 percent.

Another article of mine, "Retirement Risk, Rising Equity Glide Paths, and Valuation-Based Asset Allocation," linked the concept of rising equity glide paths with valuation-based asset allocation by focusing more on the interplay between different glide paths and valuation-based asset allocation.

There, my coauthor Michael Kitces and I clarify that the rising equity glide path does not necessarily have to be used as a universal solution. However, the current investing environment in 2017 reflects the circumstances when the rising glide path is most useful. That is, the stock market is highly valued and is more vulnerable to a decline. This is when the rising glide path works to lower the stock allocation to serve as a guide through the years when the retiree is most vulnerable to a market drop. Presuming such a drop occurs at some point, it will then shift to a higher stock allocation later in retirement when markets are less highly valued. In other words, the rising glide path approximates a valuation-based asset allocation strategy.

When markets are not highly valued, retirees might look more carefully at just holding a higher stock allocation or using a valuation-based asset allocation